

hand. In this sense, the financial institutions buy into the speculative bubble as they see the opportunity to make money, just as the institutions around them are making money off loans to frenzied speculators. Both individual speculators and financial institutions providing cheap credit fall into the rut of crowd theory and convince themselves that “this time is different.”

To make matters worse, when markets are overheating is usually when misleading asset issuers, Ponzi operators, and market manipulators come out to play. For that reason, we’ll turn to these three themes in the next chapter.

